

4. Once the stealing occurs, management tightens up the very factors that caused the original stealing.

5. Now the distrust of the workers is out in the open.

They begin to feel "OK, if they think I cannot be trusted, I will act as if I cannot."

Dr. Argyris has found in his studies that distrust is not confined to the lower-level employees. "In my opinion there is a lot of distrust at the upper levels," he states.

In discussing the psychology of sound management, one inevitably and invariably comes full circle, returning to the fact that business depends on people and cannot operate without them. It doesn't make much difference how much other knowledge or experience an executive possesses; if he is unable to achieve results *through people*, he is worthless as an executive.

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LIVING WITH LABOR

Living with, working with labor—not fighting it or ignoring it—should be an assumed obligation of the business executive. Success and profits can be gained more easily—and happily—with labor's honest cooperation than without it.

This should all be obvious, but deplorably few businessmen see labor relations as anything but an obstacle. Yet my own experiences have proven to me that a successful (and mutually respectful) liaison with labor *can* be achieved.

Some years ago, for example, representatives of a labor union sought to negotiate a new contract with a company I owned and I met with them at the bargaining table. Their demands centered around an hourly wage increase which I knew the company could not afford to grant in full. I did, however, believe we could meet the demands halfway and felt that such an increase was justified.